EXECUTIVE SUMMARY

1. Introduction

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values district only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered for the poor of Peñablanca.

The audit covered the year 2015 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2015, the financial information of the municipality is presented below:

Particulars	2015	2014	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	256,493,702.52	235,057,726.99	21,435,975.53	9.11%
Liabilities	8,648,607.67	10,707,298.31	(2,058,690.64)	(19.22%)
Government Equity	247,845,094.85	224,350,428.68	23,494,666.17	10.47%
Result of Operations				
Revenues	210,881,714.97	186,488,805.85	24,392,909.12	13.08%
Expenses	185,832,287.82	153,022,273.85	32,810,013.97	21.14%
Total Appropriation	209,931,679.66	189,581,784.02	2,141,960.49	10.73%

Total Obligations	204,817,990.94	185,659,162.81	12,519,305.23	10.32%
Comparative Statements of Funds Received from NGAs, LGUs, NGOs, & POs				
Nat'l Gov't Offices	1,085,000.00			
Local Gov't Units				
Comparative Statements of Funds transferred to NGAs, LGUs, NGOs, & POs				
Local Gov't Units	230,400.00			

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the financial statements due to the effect on the non-preparation of bank reconciliation statements for CY 2015 rendering the Cash in Bank account balance under General Fund of P3,631,397.46 unreliable; Property, Plant and Equipment of ₱241,560,839.21 is doubtful due to non-preparation and non-submission of the Report on the Physical Count of PPE; and Real Property Tax (RPT) amounting to ₱828,739.69, were doubtful due to non-setting up the total RPT and SET due and collectible at the beginning of the year.

4. Summary of Significant Observations and Recommendations

a. Advances for officers and employees totaling P277,695.52 remained unliquidated at year end because management did not exert effort to demand concerned officials and employees to settle their accountabilities..

We recommended that the Municipal Accountant demand from concerned officers and employees settlement of their respective cash advances otherwise deduct from any claims due them in satisfaction of their unsettled accountabilities.

b. Due to laxity in the handling of cash, the Municipal Treasurer's collections, as well as all collections turned over to her by collectors were not deposited daily or on the next day with the authorized depository bank of the municipality.

We recommended that management require the Municipal Treasurer to deposit all her collections intact, as well as all collections turned over to her by collectors with the authorized depository bank of the municipality daily or on the next banking day.

c. Collectors did not turn over all their collections intact at the close of every business day due to the laxity of the Municipal Treasurer/Liquidating Officer in monitoring strictly the daily turnover of collections.

We recommended that management require collectors to remit all their collections intact at the end of every business day to the liquidating officer.

d. Several disbursement vouchers and its corresponding supporting documents were not submitted to the Audit Team Leader because the Municipal Accountant did not ensure completeness of supporting documents of disbursements before these are processed and recorded in the books of accounts.

We recommended that the Local Chief Executive should cause the submission of disbursement vouchers and its supporting documents that remained not submitted as at year end to the Audit Team Leader for post audit and custody.

e. The procurement of the municipality for medical supplies, office supplies and other supplies/services totaling ₱16,130,117.42 were made thru reimbursement instead of public bidding. Likewise, the Bureau of the Internal Revenue was deprived of the taxes due totaling P864,113.43 from procurement of services made thru reimbursement.

We recommended that all procurement of goods and services should be through public bidding in accordance with the Revised Implementing Rules & Regulations of the Government Procurement Reform Act, in order to adhere to the principle of transparency, accountability, equity, efficiency and economy in the procurement process.

f. Two parcels of lots acquired by the municipality thru sale amounting to ₱28.971M containing an area of 8,368 & 8,095 square meters, respectively were not titled in the name of the municipality because of the delay in the processing of documents needed for titling.

We recommended that management prioritize the transfer and titling of the subject lots to establish absolute ownership thereof and to avoid future litigation.

5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances & charges as of December 31, 2015:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	3,609,416.00	0.00	0.00	3,609,416.00	0.00

Current Year	0.00	0.00	0.00	0.00	0.00
Total	3,609,416.00	0	0	3,609,416.00	0.00
Disallowances					
Prior Years	295,251.72	0.00	0.00	295,252.72	0.00
Current Year	0	0.00	0.00	0.00	0.00
Total	295,251.72	0.00	0.00	295,251.72	0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the 13 audit recommendations embodied in the 2014 Annual Audit Report, one was fully implemented, six were partially implemented and six were not implemented.